life of the privilege.[3] The same result will follow, of course, from the calling of a privileged issue for redemption at a price below its then conversion value.

Where the number of shares is *reduced* through recapitalization, it is customary to *increase* the conversion price proportionately. Such recapitalization measures include increases in par value, "reverse split-ups" (*e.g.*, issuance of 1 no-par share in place of, say, 5 old shares), and exchanges of the old stock for fewer new shares through consolidation with another company.[4]

Sliding Scales Designed to Accelerate Conversion. The provisions just discussed are intended to maintain equitably the original basis of conversion in the event of subsequent capitalization changes. On the other hand, a "sliding-scale" arrangement is intended definitely to reduce the value of the privilege as time goes on. The underlying purpose is to accelerate conversion, in other words, to curtail the effective duration and hence the real value of the option. Obviously, any diminution of the worth of the privilege to its recipients must correspondingly benefit the donors of the privilege, who are the company's common shareholders.

The more usual terms of a sliding scale prescribe a series of increases in the conversion price in successive periods of time. A more recent variation makes the conversion price increase as soon as a certain portion of the issue has been exchanged.

Examples: American Telephone and Telegraph Company Ten-year Debenture 4½s, due 1939, issued in 1929, were made convertible into common at \$180 per share during 1930, at \$190 per share during 1931 and 1932, and at \$200 per share during 1933 to 1937, inclusive. These prices were later reduced through the issuance of additional stock at \$100, in accordance with the standard antidilution provision.

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[3] To guard against this form of dilution, holders of convertible issues are sometimes given the right to subscribe to any new offerings of common stock on the same basis as if they owned the amount of common shares into which their holdings are convertible. See the indentures securing New York, New Haven and Hartford Railroad Company, Convertible Debenture 6s, due 1948, and Commercial Investment Trust Corporation Convertible Debenture 5½s, due 1949.

[4] See Appendix Note 39 for an example of Dodge Brothers, Inc., Convertible Debenture 6s, due 1940.